

Mortgage Crisis: 2008 vs 2030 Compared

2008

Subprime Crisis

Root Cause

Bad loans from day one

Borrowers

Low FICO, no down payment

Scale

Subprime ~\$1.3T

Predictability

Should have been foreseen

Solution

Rate cuts + QE + TARP → Worked

Nature

Broken pipe (fixable)

~2030

AI Mortgage Crisis

Root Cause

Good loans turned bad (the world changed)

Borrowers

FICO 780, 20% down payment

Scale

Residential mortgages \$13T

Predictability

Nobody saw AI coming this fast

Solution

Rate cuts useless (jobs are gone)

Nature

Water vanished (unfixable)

Scale 10x · Better borrowers · But no fix

Middle-class mortgage volume dwarfs 2008 subprime